

How Will Your Student Loan Payment Change With the Repayment Assistance Plan (RAP)?

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Paying off student loans can already feel like solving a puzzle. Now that Congress has passed the [Big Beautiful Bill](#), that puzzle is addressed with a new set of rules, known as the **Repayment Assistance Plan (RAP)**. The measure immediately eliminates [the SAVE Plan](#), which was created during the Biden presidency. Borrowers with no new loans after July 1, 2026, may stay in IBR, Graduated, Extended, or Standard plans, or switch to RAP, through July 1, 2028. After that date, un-opted borrowers will be enrolled in IBR or RAP.

For loans first disbursed on or after July 1, 2026, borrowers are automatically placed in the Standard Repayment Plan (10- to 25-year fixed term) unless they opt in to RAP, which remains available at any time.

Below, you'll find an explanation of what RAP is, how it compares to the popular SAVE plan, why a \$10 "token" payment matters, what happens to forgiveness, and how the changes will impact graduate and professional students.

RAP in everyday terms

RAP consolidates all the confusing repayment choices into one main option for new loans. Instead of shielding a big slice of income the way SAVE does, RAP looks at your entire adjusted gross income (AGI) and charges a small percentage of every dollar:

- Flat \$10/month for AGI $\leq$ \$10,000.
- 1% of AGI for AGI of \$10,001–\$20,000.
- 2% of AGI for AGI of \$20,001–\$30,000.
- Continuing to climb 1 point per \$10,000 bracket, capping at 10% above \$100,000.

Even the lowest-income borrower must send at least \$10 a month, so there would be no more \$0 student loan bills. Like SAVE, RAP cancels any unpaid interest each month, so balances can't grow if you make your required payment. Anything left after 30 years (360 payments) is forgiven.

RAP subtracts \$50 per dependent from your base monthly payment. If your payment doesn't fully cover accrued interest, that interest is waived and up to \$50 of your payment is applied directly to principal, so your balance actually shrinks each month.

The plan is simple to explain: take a slice of every dollar you earn, never less than \$10, wipe out the interest each month, and then clear the slate after three decades. But that same simplicity means many people will write bigger checks each month than they do now.

RAP vs. SAVE: quick side-by-side

SAVE was previously the most affordable income-driven plan for many borrowers because it disregards the first \$35,000 of income (for a single filer) before calculating any payment, using a discretionary income calculation based on poverty guidelines.

RAP doesn’t ignore any income, but its percentage of income starts low and rises gradually. The table shows how the math differs:

Feature	SAVE	RAP
Income ignored in payment calculation	First ~\$35k (single)	None
Payment percentage of income	Borrowers with undergrad loans only: 5% of income over ~\$35k Borrowers with any grad school loans : 10% of income over ~\$35k	1%–10% of all income
Minimum payment	Can be \$0	Always \$10
Interest safety net	Unpaid interest waived	Unpaid interest waived plus up to \$50 interest in principal reduction
Forgiveness timeline	20 years (Undergrad) / 25 years (Grad)	30 years (all)
Payments count for PSLF?	Yes	Yes

Estimated monthly payment snapshot (single borrower, rounded):

Yearly income	SAVE (monthly payment)	RAP (monthly payment)
\$25k	\$0	\$42
\$40k	\$50	\$100

\$60k	\$217	\$250
\$90k	\$467	\$600
\$200k	\$1,384	\$1,667

Note: SAVE payments shown reflect the current 10% rate, as the 5% undergraduate rate has not yet taken effect.

The \$10 minimum: small number, big change

About seven out of ten borrowers in income-driven plans have qualified for a \$0 bill at some point. RAP ends that safety valve. Supporters say a token payment keeps borrowers in regular contact with their servicers and reduces the likelihood that loans will fall off the radar. Critics counter that \$10 a month still matters to families already struggling to juggle rent, food, and childcare costs.

If you’re used to a \$0 bill, plan for \$120 a year under RAP. Build an automatic transfer on payday or mark your calendar so a missed \$10 doesn’t snowball into late fees and credit-score damage. And recertify your income every year. Falling even a few months behind could push your payment above the \$10 floor.

Deferment & forbearance: Why RAP is stricter than current rules

SAVE offered struggling borrowers multiple off-ramps, including \$0 payments for low-income borrowers and multi-year deferment and forbearance options.

Under RAP, payments remain low by capping interest and charging just \$10. Yet, it removes the [long deferment windows](#) that protect a borrower’s credit during prolonged hardship (though it does still allow administrative forbearance).

For anyone with unstable income, those tighter limits make RAP significantly less forgiving than today’s SAVE framework, and more borrowers may end up in delinquency and default.

Feature	Current system (SAVE & other IDR plans)	Proposed RAP rules	Practical effect
Economic-hardship deferment	Up to 3 years; no payments	Eliminated. Borrowers must keep making RAP payments.	Someone who loses income suddenly can

	due, and loans stay “current.”		no longer press pause for months at a time.
Unemployment deferment	Up to 3 years; renewable in 6-month chunks.	Eliminated. Unemployed borrowers still owe at least the \$10 RAP minimum.	Missed \$10 payments would trigger 30-day delinquency notices and, eventually, default.
General forbearance (illness, financial hardship, natural disaster)	Up to 36 months total , granted in blocks of up to 12 months.	Capped at 9 months in any 24-month window (essentially 9 months on, 15 months off).	A borrower who exhausts the 9 months must resume payments or risk delinquency long before the old 3-year limit.

Forgiveness moves from a marathon to an ultra-marathon

Current plans eliminate any remaining debt after 20 years for undergraduate loans or 25 years for graduate loans. RAP stretches the clock to a flat 30 years for everyone. That extra five-to-ten-year stretch means 60 more payments, thousands more dollars, and for many borrowers, a very real chance that they’ll finish paying the balance before any forgiveness kicks in.

[Public Service Loan Forgiveness \(PSLF\)](#) still works the same, with 120 payments and you’re done, but each of those 120 payments could be higher, leaving a smaller balance to forgive at the end.

Unless you qualify for PSLF or another early-forgiveness program, treat RAP’s 30-year write-off as an insurance policy rather than the centerpiece of your payoff plan.

Headed to grad school? Borrowing rules tighten

The new Big Beautiful Bill that launches RAP also ends [Grad PLUS loans](#) and introduces new lifetime borrowing caps:

Loan Type	Annual Limit	Aggregate Limit
Non-professional graduate loans	\$20,500	\$100,000
Professional graduate programs	\$50,000	\$200,000
Parent PLUS (per dependent)	\$20,000	\$65,000

Medical students routinely borrow over \$200,000 today. Under the new caps, they may need private loans, without income-based payments, PSLF, or federal discharge protections, to cover the gap.

Future doctors, lawyers, MBAs, and even parents of undergrads should price-check their programs now. If tuition outstrips the cap, line up scholarships, employer tuition assistance, or well-researched private loans long before the tuition bill arrives.

Five things you can do right now

The Repayment Assistance Plan is not yet available for borrowers to enroll. However, you can take steps to prepare now that it's law:

- **Estimate your RAP bill.** Use the snapshot table to ballpark your new payment.
- **Consider shrinking your AGI.** Pre-tax retirement contributions, HSAs, and even filing taxes separately (for some couples) lower the income RAP uses.
- **Keep PSLF paperwork up to date.** Higher payments still count, but missing forms erase credit.
- **Borrow carefully after 2026.** Any new federal loan after the cut-off date brings all your debt under RAP's rules. Calculate the return on investment first.
- **Download payment records now.** Having proof of past payments helps if the counts change during a transition.

Treat these moves as free insurance: if RAP passes, you're prepared; if it stalls, you still have a healthier budget and better loan files.

Final thoughts

RAP makes student-loan rules easier to explain but harder on many wallets: higher minimum payments, a longer journey to forgiveness, and stricter borrowing limits [for graduate school](#). The interest-waiver feature remains, which is a significant win, but most SAVE users would still pay more each month and for a longer period.

Use the time now to crunch your numbers, shore up your paperwork, and practice life with a slightly larger loan payment. If RAP never arrives, you'll be ahead of your budget goals. If it does, you'll meet the new rules on your own terms, not in a panic.

